

THE
FUNDAMENTAL
LOGIC BEHIND

The future is UNCERTAIN there are many possible scenarios	QUANTITATIVE ANALYSIS: Measures of the financial Impact	If something like this happened, WOULD BE PREPARED?	The goal is to understand HOW RESILIENT the company would be under that scenario
TIME FRAME - Learn from the past - Understand what is happening today - Think about the future	INTERDISCIPLINARY APPROACH Each expert contributes unique knowledge, making scenarios more realistic and complete.		Models fail with EXTREME EVENTS ; the scenario shows the limit of the model.

SCENARIO ANALYSIS

SENSITIVITY		Explores the combined impact of multiple plausible future events.	STRESS TESTING		Assesses resilience under severe but plausible conditions.
BUILDING	START WITH A NARRATIVE • What starts the story? • How do events unfold? • What is the financial impact? Explain in order what they occur and how they develop over time.	CONSIDER RISK DEPENDENCIES Copulas/ Common Underlying/ Expert judgment Relationships between risks during stressful periods are often different from those observed during normal times. How do they occur? Immediate feedback, time-logged, dependencies and phase Shift		CONSIDER SCENARIO ROLLOUT OVER TIME Calculate by stage: year one, year two, so on.	
				CONSIDER THE AREA IMPACT Global, regional or company specific.	
	DEFINING RISK APPETITIVE Not all scenarios have the same purpose, so define how much risk a company is willing to accept to achieve its strategic objective.				
	EVALUATION AND REPORTING	WHAT SHOULD BE ANALYZED? •Secondary consequences •Impact on assets •Impact on liabilities •Balance sheet •Profit and loss •Reputation	MARKET VARIABLES TO ANALYZE •Interest rates •Equity markets •Exchanges rates •Credit Spreads •Counterparty defaults •Mortality and morbidity •Policyholder behavior •Capital restrictions	YOUR GOAL EMPATHIZES WITH RISK MITIGATION: How will management respond, what contrast they will face and how will those decisions change the financial outcome.	DON'T NEED TO BE SO TECHNICAL Instead of showing pages of equations, you might present: •The biggest risk identified •The potential financial impact •Whether capital is sufficient
<i>The objective is not to build the perfect model. It is to MAKE BETTER DECISIONS under uncertainty.</i>					